



SOUTH CHINA SEA DISPUTE

A strategic, legal and economic
geopolitical conflict



Cyril - Florian - Aya - Eline



Why This Conflict Matters

- Central maritime space in global geopolitics
- Intersection of:
 - International law
 - Economic interests
 - Military competition
 - National sovereignty
- Consequences extend beyond Asia

South China Sea
represent
33%
of the international maritime
trade

80%
of the energy import



Source:

Council on Foreign Relations (CFR), Global Conflict Tracker: South China Sea
Congressional Research Service (CRS), U.S. Strategic Interests in the South China Sea

Introduction

The South China Sea is a semi-enclosed maritime region marked by overlapping territorial claims and frequent political and maritime tensions. Its stability is crucial, as disruptions in this area directly affect global trade, energy flows, and international security.



Historical context

- **Pre-WWII:** remote features, limited administration; no clear modern maritime borders
- **1937–1945:** war in Asia makes maritime space strategically important
- **1941–1945 (WWII):** Japan occupies key features as naval/air footholds
- **Aug–Sep 1945:** Japan surrenders → withdrawal creates uncertainty
- **1951:** San Francisco Peace Treaty → Japan renounces claims, no successor named

Results : sovereignty ambiguity + later claim framing (e.g., 1947 dashed-line map) set the stage for today's dispute



From history to today (2025- early 2026)

The dispute has shifted from maps and claims to “facts on the water”

Regular coast guard patrols, close encounters, and pressure around key shoals.

Early 2026 example:

China announced naval and air patrols around Scarborough Shoal (Jan 31, 2026) a recurring flashpoint inside the Philippines' EEZ but also claimed by China.

Diplomacy continues but remains hard

As ASEAN chair, the Philippines is pushing for a Code of Conduct based on UNCLOS and ideally legally binding

PART I – A STRATEGIC MARITIME SPACE

Geographical Location

Strategic Location → Connects Indian & Pacific Oceans, vital maritime route

Major Trade Corridor → High-volume shipping, oil & gas transport

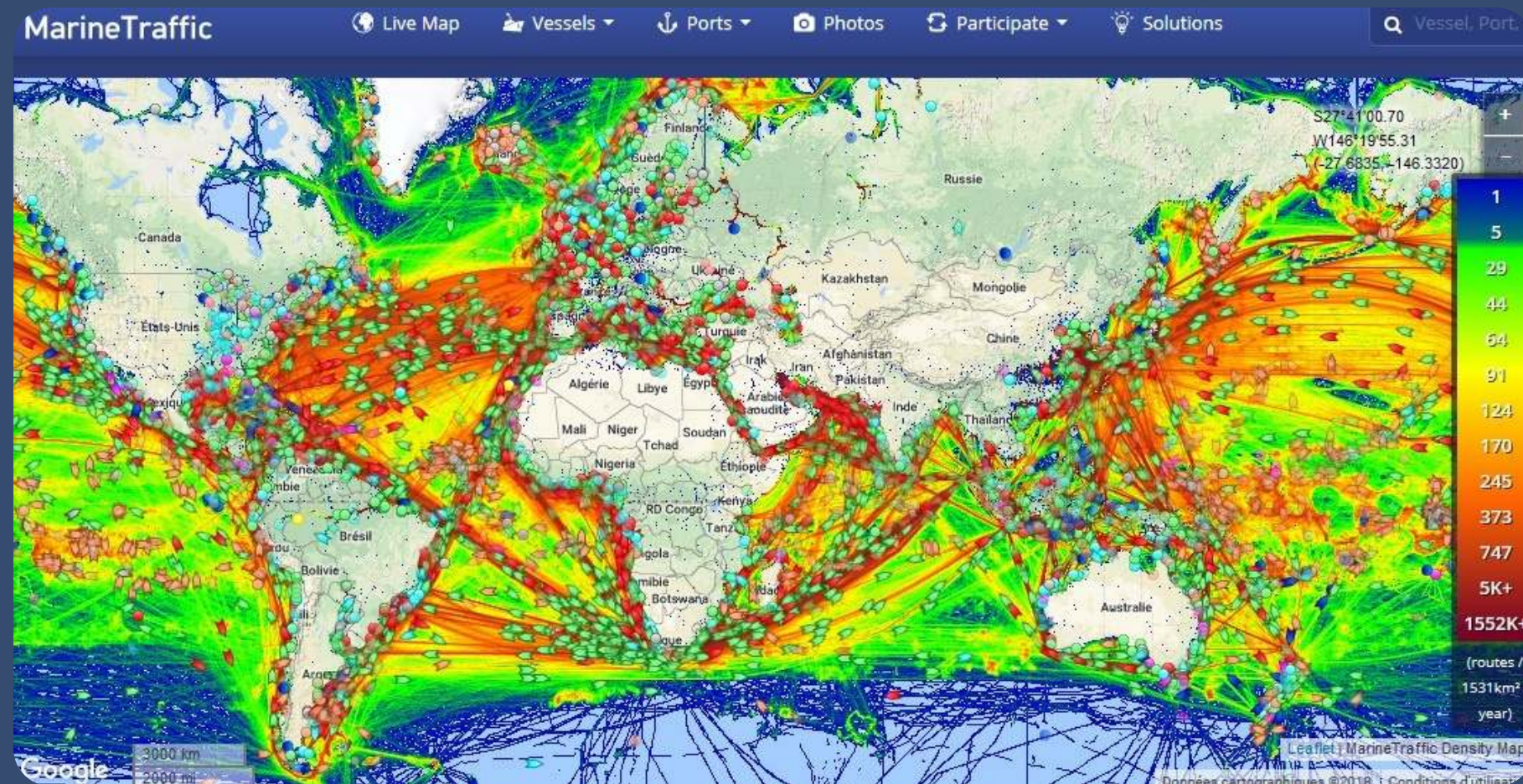
Disputed Territories → Spratly, Paracel Islands, Scarborough Shoal

Military Presence → Artificial islands, Chinese infrastructure

Global Impact → Chokepoint affecting trade, security, and international interests



A Global Maritime Crossroads

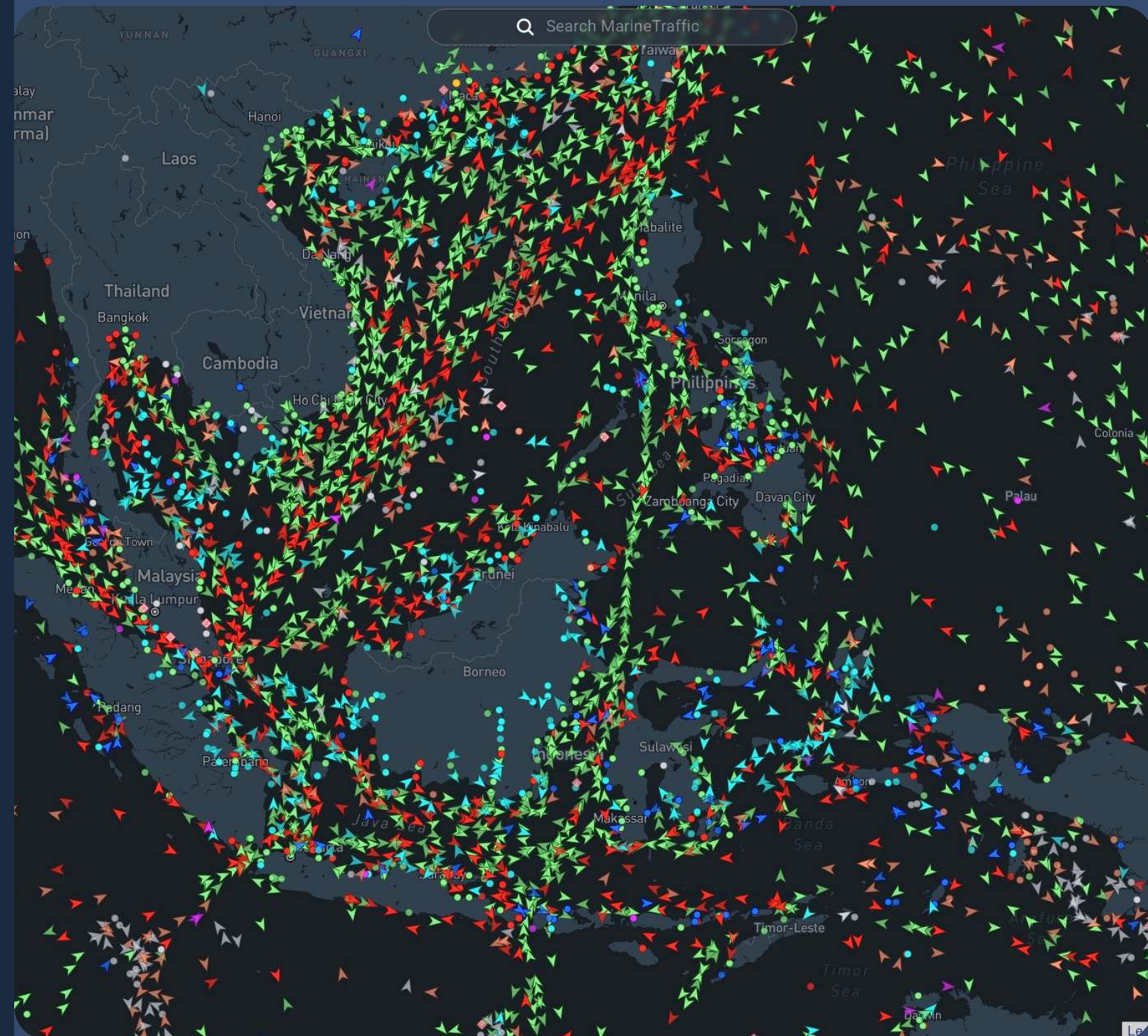
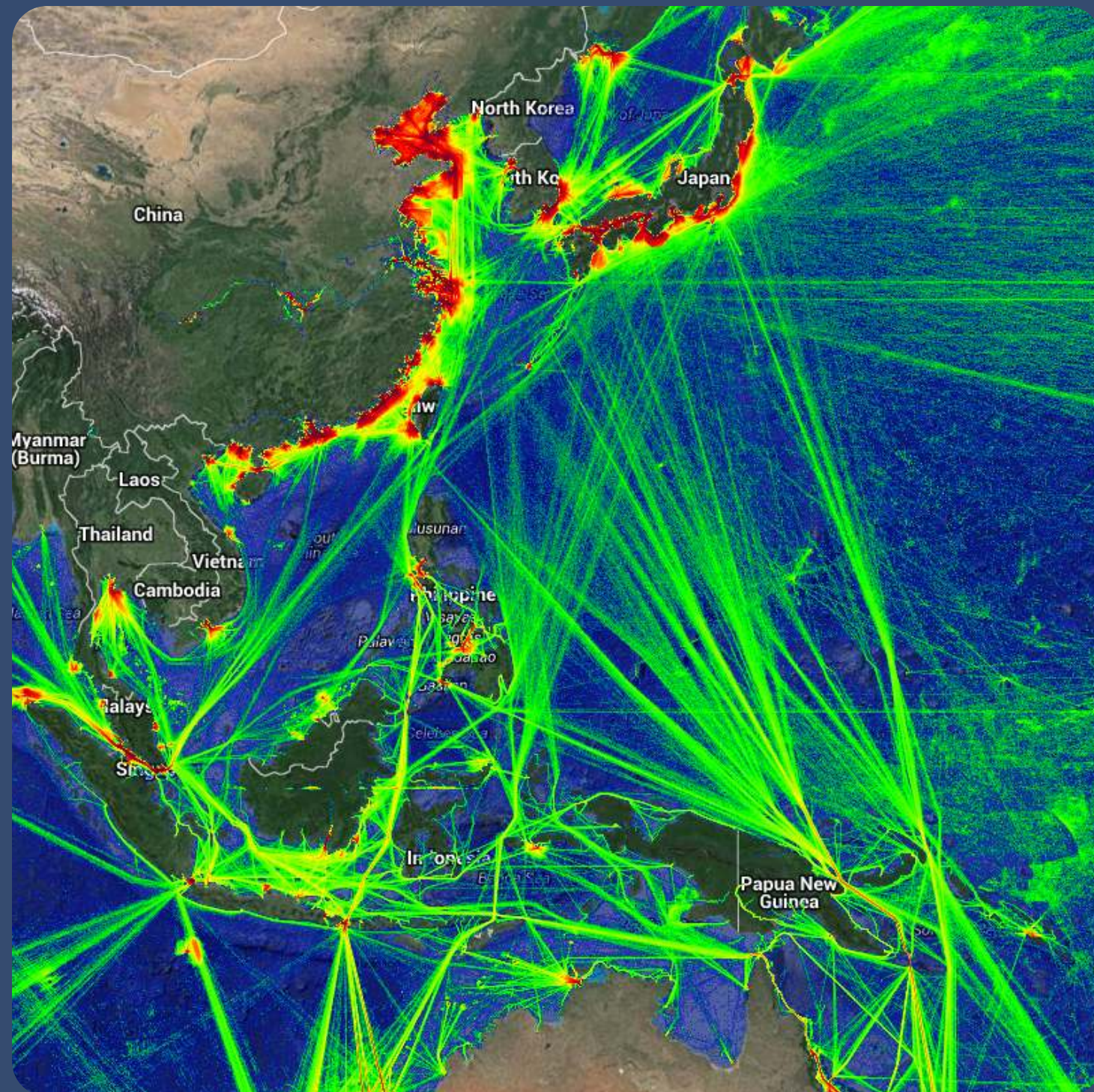


- Around one-third of global maritime trade transits the area
- Major shipping routes linking:
 - East Asia
 - Europe
 - Middle East
- Connected to strategic chokepoints (Strait of Malacca, Taiwan)

Source:

UNCTAD, Review of Maritime Transport

U.S. Energy Information Administration (EIA), World Oil Transit Chokepoints



Mapping of cargo ships in the South China Sea on 28/01/26

A Vital Trade and Energy Arter

- The South China Sea plays a crucial role in global trade, as many international sea routes pass through this region.
- Trade between Asia and Europe, including manufactured goods, raw materials, and energy resources, depends heavily on these maritime routes.
- In 2016, around 21% of global trade, valued at \$3.4 trillion, transited through the South China Sea.
- The region is also essential for energy transport, with 37% of global seaborne oil exports passing through its waters.
- When tensions increase, security risks and navigation restrictions slow maritime traffic, causing delays of up to two weeks.
- These delays lead to higher transportation costs (+12 -18% per shipment) due to increased fuel use, insurance, and operational expenses.
- As a result, companies may reroute ships, increasing distances, delivery times, and overall costs.
- Such disruptions can raise prices, create inflationary pressures, and affect the global economy beyond the region.



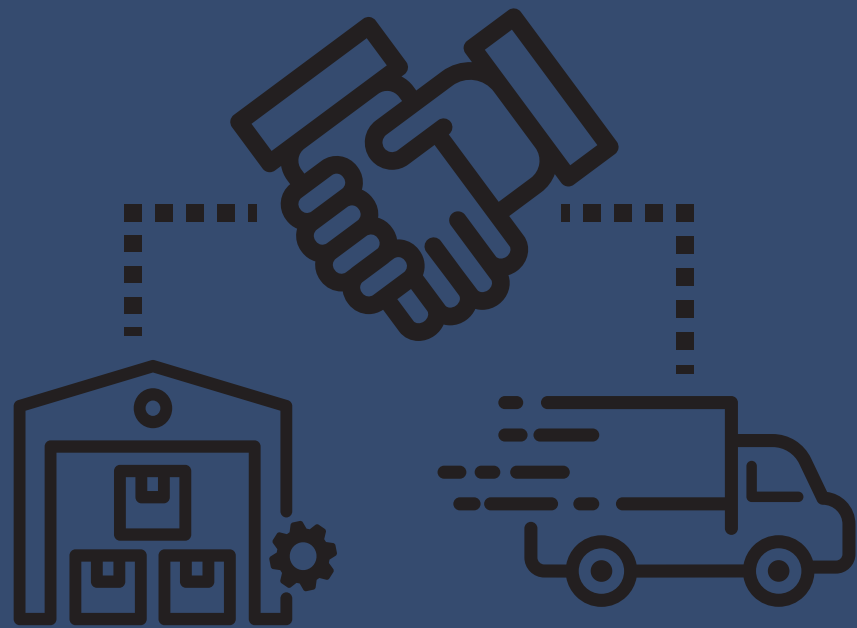
Source:

U.S. Energy Information Administration (EIA), South China Sea Energy Analysis

OECD, Energy Security and Shipping Routes

Role in Global Supply Chains

- Core logistics corridor for Asian manufacturing
- Supports electronics, industrial goods, consumer products
- Disruption would cause:
 - Delays
 - Higher costs
 - Inflationary pressure globally



Source:
OECD, Global Value Chains
World Bank, Logistics Performance Index

A Legally Framed but Contested Space

UN maritime treaty
adopted in 1982

Provides a global legal
framework for the seas

Defines maritime zones
(Territorial Sea, EEZ)



Grants states rights over
marine resources

Creates a court to settle
maritime disputes
(ITLOS)

Source:

United Nations Convention on the Law of the Sea (UNCLOS), 1982
Congressional Research Service (CRS), UNCLOS and Maritime Claims

Key Legal Issue

Key terms

UNCLOS (1982):

- Territorial Sea (**12 nm**), **EEZ (200 nm)**,
Continental Shelf

ART. 121

- Feature status matters: **island vs rock vs low-tide elevation** → determines **EEZ rights**

Why it matters

EEZ OVERLAP

- Overlapping EEZs in a semi-enclosed sea → boundaries become disputed

LAW VS POWER

- Core tension: **UNCLOS-based rights vs conflicting expansive claims in practice**

Source:

UNCLOS, Article 121

Permanent Court of Arbitration (PCA), South China Sea Arbitration Award (2016)

PART II – ECONOMIC & NATURAL RESOURCES



Offshore Oil and Gas

- Potential hydrocarbon reserves: ~11–12 billion barrels of oil and 190 Tcf of natural gas in proved and probable reserves; some estimates up to 225 billion barrels of oil equivalent and 900 Tcf of gas in disputed areas. (CSIS – AMTI)
- Regional energy security: Critical for China, Vietnam, Malaysia; helps reduce dependence on imports and ensures stable supply.
- Exploration reinforces sovereignty: Offshore drilling, seismic surveys, and licenses are used to assert claims in contested waters.
- Economic activity as geopolitical signal: Platforms, ships, and projects signal control and strategic presence.
- Strategic importance: Offshore energy exploitation is a major factor driving naval patrols, artificial islands, and territorial disputes.

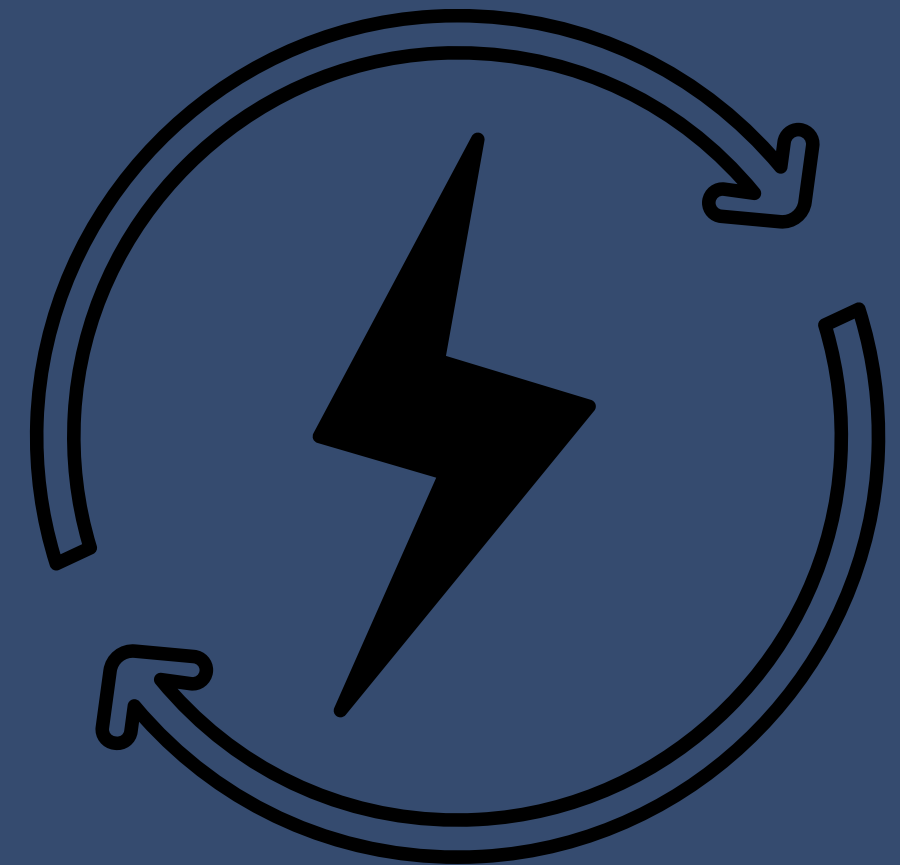


Source:

U.S. Energy Information Administration (EIA), South China Sea Oil and Natural Gas
Congressional Research Service (CRS), Energy Resources and Sovereignty Claims

Strategic Energy Dependence

- **China relies heavily on imported energy ($\approx 70\%$ of oil needs)**
- **Majority of imports transit through the South China Sea ($\approx 37\%$ of seaborne oil globally)**
- **Control of sea lanes is seen as strategic leverage**
- **Energy security drives Chinese naval and territorial activities**
- **Strategic behavior includes patrols, artificial islands, and sovereignty claims**



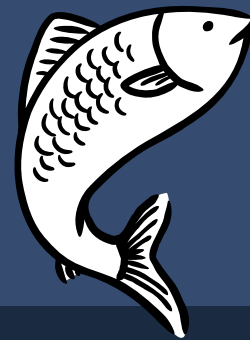
Source:

U.S. Energy Information Administration (EIA), China Energy Profile

IISS, Energy Security in East Asia

Fisheries and Food Security

- Fishing is vital for coastal communities and livelihoods.
- Contributes 7% of Vietnam's GDP and employs 4.5 million people.
- Millions rely on fishing for food, income, and tradition.
- Rising tensions make fishing dangerous: harassment, intimidation, and restrictions.
- Coast guards use water cannons, block boats, seize equipment (e.g., 3 Filipino fishermen injured, Dec 13, 2025).
- Disputes threaten food security and fish supply for the region.



Source:

Food and Agriculture Organization (FAO), State of World Fisheries and Aquaculture
Congressional Research Service (CRS), Fisheries Disputes in the South China Sea

Environmental Stakes

- Land reclamation damages coral reefs
- Habitat destruction reduces fish stocks
- Environmental harm affects all coastal states
- Ecology increasingly referenced in diplomacy



Source:

United Nations Environment Programme (UNEP), Coral Reef Degradation
IISS, Environmental Security in Maritime Asia



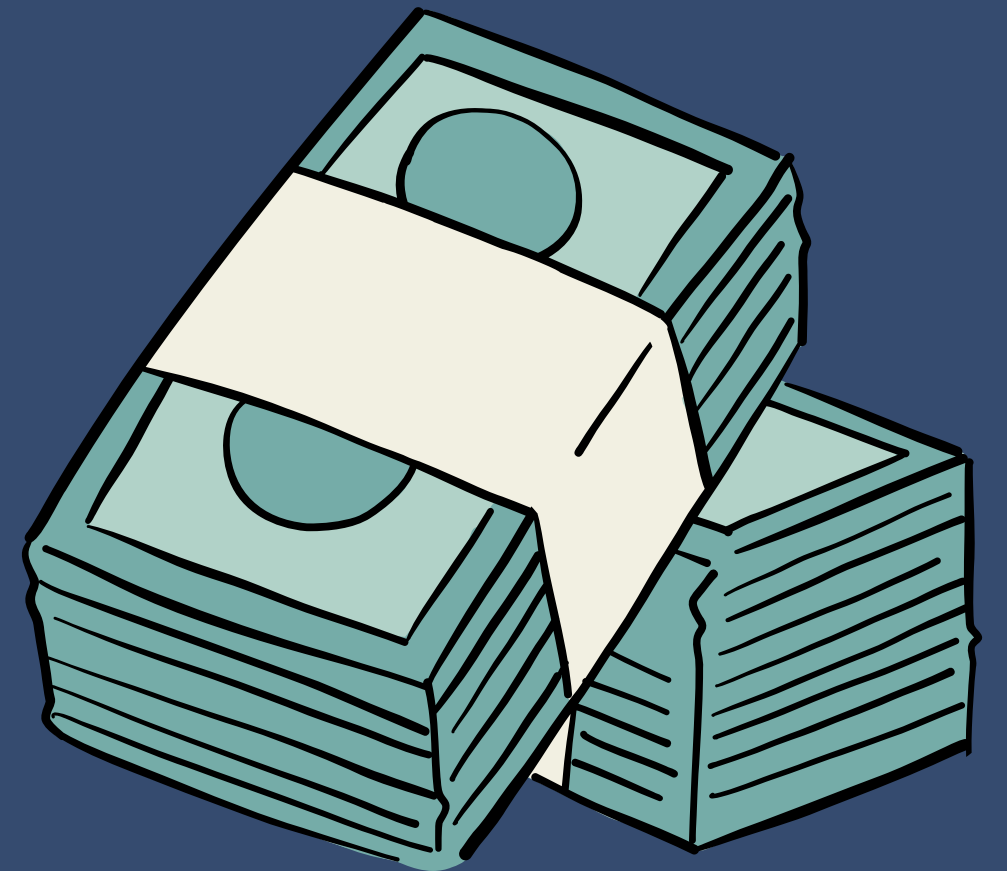
Fiery Cross Reef (Chinese)



Barque Canada reef (Vietnamese)

Economic Cost of Uncertainty

- Rising tensions increase risk pricing: higher insurance premiums and “war risk” costs
- Shipping faces delays and rerouting, which raises freight costs and disrupts supply chains
- Energy projects suffer regulatory uncertainty (permits contested, operations pressured, projects delayed/cancelled)
- Businesses respond with buffers: more inventory, diversified routes/suppliers, postponed investment



Source:

OECD, Geopolitical Risk and Investment

UNCTAD, Shipping Insurance and Political Risk

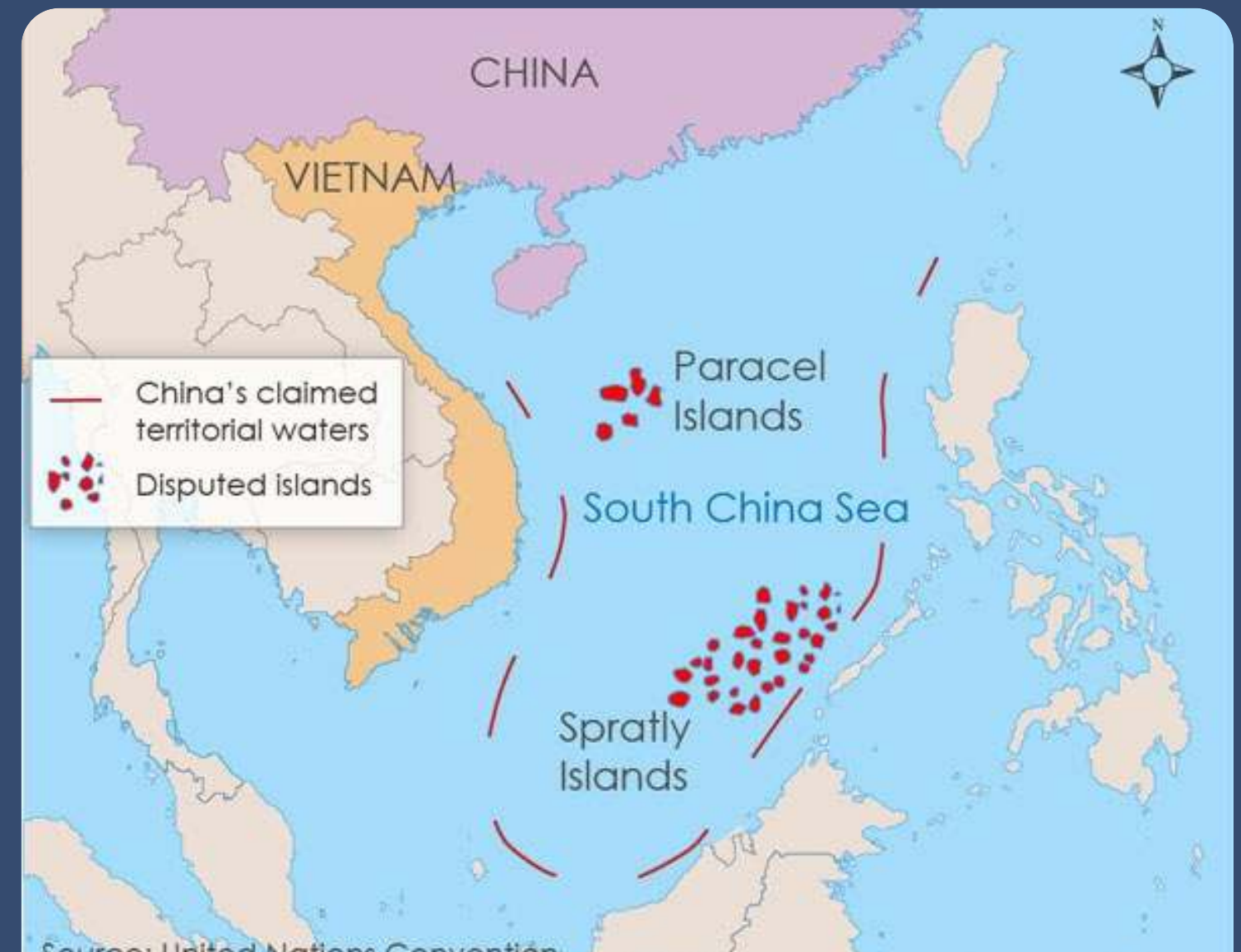
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PART III – TERRITORIAL CLAIMS & LAW

China's Nine-Dash Line

- Introduced on Chinese maps in 1947
- Covers most of the South China Sea
- Legal meaning remains ambiguous
- Incompatible with UNCLOS framework



Source:

Congressional Research Service (CRS), China's Maritime Claims
Permanent Court of Arbitration (PCA), 2016 Arbitration Findings

Competing Regional Claims



- **Claimants include:**
 - Philippines
 - Vietnam
 - Malaysia
 - Brunei
 - Taiwan
- **Claims based mainly on EEZs**
- **Extensive overlap creates legal friction**

Source:
UNCLOS, 1982
Congressional Research Service (CRS), Claims of Southeast Asian States

Failure of Legal Arbitration

- **2016 PCA ruling rejected historic rights claims**
- **Clarified legal status of maritime features**
- **China rejected and refused compliance**
- **Reveals limits of legal enforcement**

Source:

Permanent Court of Arbitration (PCA), Philippines v. China (2016)

Council on Foreign Relations (CFR), Why the Ruling Failed to Change Behavior

PART IV – MILITARIZATION & GREY ZONE STRATEGY

Militarization of the Sea

- **Construction of artificial islands**
- **Deployment of:**
 - **Airstrips**
 - **Radars**
 - **Missile systems**
- **Enhanced power projection and surveillance**



Source:

CSIS – Asia Maritime Transparency Initiative (AMTI)

IISS, The Military Balance

Atoll de Mischief



Récif de Fiery Cross



Spartley Islands



Grey Zone Strategy

- **Coercive actions below armed conflict threshold**
- **Gradual change of status quo**
- **Designed to avoid direct military response**
- **Exploits legal and political ambiguity**

Source:

RAND Corporation, Mazarr, Mastering the Grey Zone
Congressional Research Service (CRS), Grey Zone Conflict



Mers de Chine : la nouvelle guerre froide ? • FRANCE 24

France 24 is a French public broadcast service.



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MERS DE CHINE



**La nouvelle guerre
froide ?**

REPORTERS+

Watch on YouTube

10' to 12'

Grey Zone Tools

- **Coast guard vessels**
- **Maritime militia (civilian-backed forces)**
- **Legal and cartographic assertions**
- **Information and narrative control**

Source:

CSIS, China's Maritime Militia

IISS, Hybrid Warfare at Sea



South China Sea tensions: Manila says water cannon from Chinese vessels injured

PHILIPPINE COAST GUARD



Mediacorp is a Singaporean public broadcast service.



SOUTH CHINA SEA TENSIONS

Three fishermen hurt, boats damaged by Beijing in disputed waters: Manila

team event

SEA Games: Judo exponents Ryan Goh, Teo Chee Hern earn bronze for Team

Watch on YouTube



Chinese Ships Collide Pursuing Philippine Boat Near Disputed Shoal | WSJ News



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WSJ

Watch on  YouTube

Controlled Escalation

- **Collisions and aggressive maneuvering**
- **Use of water cannons and lasers**
- **Frequent near-incidents at sea**
- **High risk of miscalculation**

Source:

Council on Foreign Relations (CFR), South China Sea Incident Tracker

IISS, Risk of Escalation in Maritime Asia

OR



PART V – INTERNATIONALIZATION

United States



- Freedom of Navigation (FONOPs): challenges what the U.S. calls “excessive maritime claims” and signals that sea lanes must remain open
- Deterrence logic: prevent any single power from controlling access, patrols, and resource activity in a major global corridor
- Alliance effect: support for partners (especially the Philippines; also Japan and Australia) raises the stakes of local incidents

Result: more presence and signaling → stronger deterrence, but also higher risk of miscalculation due to more close encounters

ASEAN's Limited Role



- Role: promote dialogue and reduce the risk of incidents at sea
- Main tool: ASEAN–China Code of Conduct (COC) negotiations (slow progress)
- Key limits: not clearly binding, unclear enforcement, and debates about UNCLOS alignment
- Internal divisions weaken unity → limited ability to change behavior on the water

Source:

ASEAN Secretariat, South China Sea Code of Conduct

Congressional Research Service (CRS), ASEAN and Regional Security

Indo-Pacific Security Architecture



Deterrence network

(Not one alliance):
AUKUS, stronger Japan–
Australia–Philippines
coordination, deeper
U.S.-partner cooperation



Capabilities + interoperability

joint exercises, access
agreements,
intelligence-sharing,
advanced tech



Cost of coercion

Raise costs → support a
“rules-based” maritime
order and free sea lanes
on a contested region



Action–reaction spiral

More deployments and
encounters, higher
miscalculation risk

Source:

IISS, Indo-Pacific Security Order

RAND Corporation, Alliances and Deterrence in Asia

PART VI – TAIWAN CONNECTION

Taiwan's Strategic Position

- ✓ Central node in the First Island Chain
- ✓ Controls access between Pacific and South China Sea
- ✓ Key factor in regional naval strategy
- ✓ Strategic leverage over maritime routes



Source:

IISS, First Island Chain Strategy

RAND Corporation, Taiwan's Strategic Geography

Taiwan and Maritime Power

- Control of Itu Aba (largest Spratly feature)
- Implications for EEZ claims
- Strategic relevance for submarine operations
- Often understated but critical actor



Source:

Permanent Court of Arbitration (PCA), Itu Aba Legal Status

Congressional Research Service (CRS), Taiwan and Maritime Claims

Risk of Regional Spillover

- Taiwan crisis would affect nearby seas
- Increased pressure in South China Sea
- Higher likelihood of US–China confrontation
- Multi-theater escalation risk

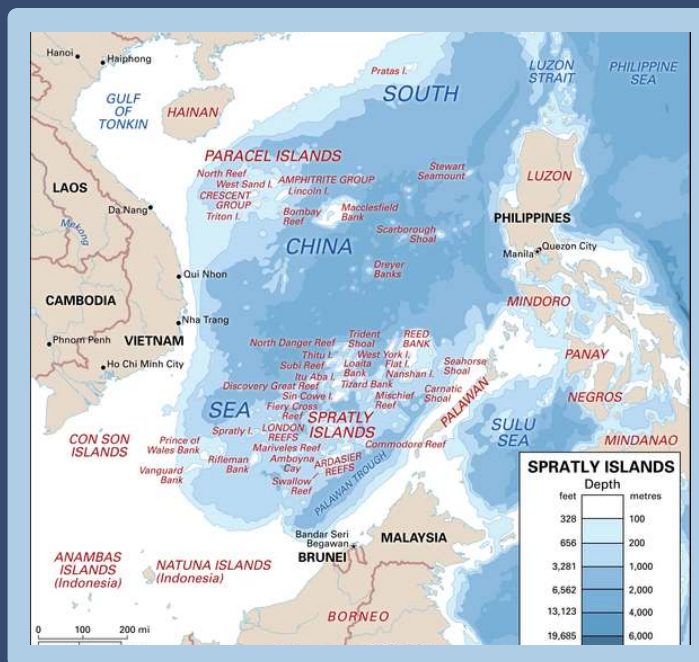
Source:

RAND Corporation, Multipolarity and Regional Order
IISS, China's Strategic Assertiveness

PART VII – FUTURE SCENARIOS

Possible Scenarios

Scenario 1: Cold Tension



Frequent coast-guard pressure, protests, no real settlement

Scenario 2: Limited Escalation



A serious incident triggers a short crisis, then de-escalation back to tension

Scenario 3: Major Crisis



Fatal collision or military incident, alliance involvement, wider regional shock

Source:
RAND Corporation, Future Conflict Scenarios in East Asia
IISS, Strategic Outlook

Potential Triggers

- Fatal incident at sea
- Naval or air collision
- Misinterpretation of military signaling



Source:

Council on Foreign Relations (CFR), Maritime Incident Risk Analysis
Congressional Research Service (CRS), Crisis Escalation

International Law vs Power Politics

- UNCLOS provides legal framework
- Weak enforcement against major powers
- Power increasingly shapes outcomes
- Challenge to rules-based order

Source:

Permanent Court of Arbitration (PCA), Limits of Arbitration

IISS, Erosion of Rules-Based Order

The South China Sea as a Symbol



Multipolar World

→ power competition is structural



China's Assertiveness

→ presence + coercion reshape the balance



Norms Under Pressure

→ UNCLOS vs “facts on the water”



Long-term Instability

→ tension becomes the new normal

Source:

Food and Agriculture Organization (FAO), State of World Fisheries and Aquaculture
Congressional Research Service (CRS), Fisheries Disputes in the South China Sea

Conclusion

The South China Sea dispute has global significance, affecting trade, energy security, and strategic rivalry in the Indo-Pacific. It highlights the limits of international law when confronted by great-power competition and will remain a key test for the future of international order and global governance.







THANK YOU

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